

March 30, 2026

D.O.G.E. 2.0 – Debt, Oil, Growth, Employment and Why Bitcoin Was Created

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

When the DOGE experiment launched last year, it was framed as the ultimate solution to government bloat. Instead, the initiative quickly dissolved, leaving disputed savings and an untouched fiscal deficit in its wake. Now, a year later, those four letters have returned to define our current reality. Only this time, DOGE stands for Debt, Oil, Growth, and Employment. This four-part framework represents a structural trap for the Federal Reserve, and navigating this exact dilemma is why, when combined with the rise of AI agents, Bitcoin is likely to become the defining story coming out of this new crisis.

The irony is hard to miss. Washington tried to sell DOGE as a story about efficiency, but markets are staring at something much larger and much harder to fix. Oil prices have surged as the war with Iran has disrupted flows through the Strait of Hormuz. After investors held onto hopes that this would quickly fade, it has now become clear that this is a much larger issue regardless of when the Strait is reopened. Inflation is set to rise in the coming months because of the breadth of the disruption to global energy. At the same time, import-price pressures were already showing up even before oil's latest surge, while AI-driven demand has pushed memory-chip prices sharply higher, straining the supply chain for PCs, smartphones, autos, and other electronics.

That is what makes this moment dangerous. The inflation problem may be returning, but it is returning for reasons the Fed cannot easily solve, all while affordability remains a major political issue. Rate hikes do not reopen Hormuz. They do not create more DRAM. They do not suddenly lower the cost of semiconductors, memory, or other hardware inputs rippling through autos and computers. These are supply-side and geopolitical shocks landing on top of an economy that is already losing momentum.

This is where the real D.O.G.E. framework matters.

Debt is the structural constraint.

Oil is the inflation shock.

Growth will slow from inflation and a worsening credit cycle.

Employment is already weak enough that the Fed may soon have to favor that side of its dual mandate.

Start with debt, because debt is what makes this cycle different from the oil driven inflation of the 1970s. In 1970, gross federal debt was about **35.5% of GDP**. By 1979, it was about **31.6%**. Today, the comparable FRED series stands around **122.5% of GDP**. Even before the Global Financial Crisis, the ratio was far lower than it is now. This means the United States is entering a possible second inflation wave with a debt burden roughly four times what it carried at the end of the 1970s. That one fact alone changes how much pain the system can absorb.

That matters because investors love using the 1970s as the analogy. The comparison works at a headline level: oil shock, inflation pressure, and a central bank being tested again after it thought it had made progress. But the balance sheet underneath the country is radically different now. In the 1970s, the Fed could fight inflation inside a much less indebted fiscal structure. Today, every additional point of rate pressure hits an economy, a Treasury market, and a federal budget that are all far more sensitive to borrowing costs. In other words, this is not just a replay of the 1970s. It is the 1970s problem inside a far more levered system.

The same constraint shows up in asset prices. The Fed is not dealing with inflation inside a cheap, under-owned financial system like the one it faced in the 1970s. The stock market-capitalization-to-GDP measure stands at over 200%. In the late 1970s, that figure was far lower, roughly 42% in 1975 and about 38% in 1979. The US economy has become financialized. That matters because a Fed determined to crush inflation with higher rates today would not just be tightening into a weaker labor market and a heavily indebted fiscal system; it would also be tightening into an asset market whose size relative to the economy is vastly larger than it was in the 1970s. The higher stock-market-cap-to-GDP ratio rises, the harder it becomes for the Fed to tolerate the kind of asset deflation that a true inflation fight would likely require.

The labor market is the second major difference. In 2022, when the Fed was crushing post-COVID inflation, it was doing so in an economy with strong job creation and much hotter wage growth. That gave policymakers room to prioritize inflation. The labor backdrop today is not the same. The February 2026 employment report showed nonfarm payrolls down 92,000, unemployment at 4.4%, and payroll employment having changed little on net in 2025. The unemployment rate bottomed at 3.4% in 2023. Outside of non-cyclical areas like healthcare, the labor picture looks even softer. That is not a booming labor market. It is a softening one. Wages have been in a steady decline since the peak in 2023 falling from 6.4% to 4%. This is not the kind of wage spiral that would justify engineering major labor-market damage just to counter an oil shock.

Jerome Powell has already all but described this trap. In his March 18 press conference, he said the Fed remains focused on both sides of its mandate, noted that job gains have remained low, and acknowledged that higher energy prices will likely push up inflation in the near term. He also repeated the standard central-bank instinct that policymakers often try to “look through” energy shocks, provided inflation expectations stay anchored. That language matters. It tells you the Fed is already preparing the market for the idea that not all inflation is equal, and not all inflation should be met with the same policy response.

Other Fed officials are framing the same dilemma. Vice Chair Philip Jefferson said sustained higher energy prices could worsen both inflation and spending, complicating the Fed’s dual mandate. Reuters has described the Fed as cornered between weak jobs and higher inflation. And all of this now sits in front of a leadership transition: Jerome Powell’s term as chair ends on May 15, 2026, Kevin Warsh has been nominated to replace him, and President Trump continues to publicly argue that rates should be lower immediately. That only sharpens the dilemma. A new chair may soon inherit a weakening labor market, rising inflation pressure, and open political pressure for easier money all at once.

So what happens next?

The Fed is unlikely to fight this inflation wave the way it fought the last one. That does not mean it will welcome inflation. It means it will try to distinguish between inflation caused by excess domestic demand and inflation caused by oil, war, tariffs, and hardware bottlenecks. If unemployment rises and hiring remains weak, the Fed will be pulled toward the employment side of its mandate. It may speak hawkishly to preserve credibility, but the underlying logic points toward a willingness to look through at least part of the inflation surge if the economy weakens enough. Debt makes that bias stronger. The more levered the country becomes, the less tolerance there is for prolonged real restraint.

When a central bank can no longer afford the pain of true economic discipline because the debt burden is simply too high, the market will instinctively seek an asset whose supply cannot be expanded to fund the next rescue.

And that is where Bitcoin comes in.

Satoshi Nakamoto released the Bitcoin white paper on October 31, 2008, just weeks after the financial system nearly collapsed. It was not an accident that Bitcoin entered the world in the middle of bailouts, emergency rescues, and a crisis of trust in financial institutions. Bitcoin was born as a response to a system in which governments and central banks could always create more money, extend more guarantees, and socialize more losses when the structure became too fragile to endure discipline.

That point became even clearer in the symbolism around Bitcoin’s launch. When the network’s genesis block was mined on January 3, 2009, it included a newspaper headline referencing a second bank bailout in Britain. Whether you view that as protest, timestamp, or both, the message was unmistakable: Bitcoin was created in the shadow of a monetary order that had become dependent on intervention and rescue.

Now fast-forward to today. The United States is not just dealing with an inflation scare. It is dealing with a credit-cycle problem layered on top of it. Growth is more fragile. Job creation has stalled. The fiscal position is vastly weaker than it was in the 1970s. And the inflation impulse is coming from places the Fed cannot directly repair. That is exactly the kind of setup that exposes the limits of discretionary fiat management. The central bank can talk tough, but if it must choose between defending employment and crushing supply-driven inflation inside a 122%-debt-to-GDP economy, markets should assume the threshold for easing is lower than in past cycles.

Bitcoin does not need hyperinflation for this thesis to matter. It only needs a world in which the market increasingly believes that every inflation fight will be shorter, every easing cycle will come sooner, and every debt-heavy downturn will force policymakers back toward accommodation. Ultimately, Bitcoin is the final receipt for a century spent trying to outlast the Great Depression and suppress the Schumpeterian deflation of innovation. We traded creative destruction for a hyper-financialized trap where stocks cannot be allowed to fall, debt suffocates monetary policy, and exponential tech growth guts labor from the inside with the rise of AI agents about to change the labor force forever. That is why Bitcoin was created. Not because inflation is always imminent, but because the structure of modern government finance makes hard money harder to sustain through pain.

Crucially, this macroeconomic trap is arriving exactly as the alternative infrastructure matures. The financial guardrails are now fully built, and Wall Street ETFs have made access frictionless for everyday investors. While traditional markets face a growing liquidity crisis, highlighted by redemption gates currently slamming shut on private credit funds, the digital alternative is accelerating. Surging stablecoin volumes are rewiring global settlement, and tokenization is arriving to fundamentally upgrade the legacy rails. Add in a rapidly expanding digital economy where AI agents will increasingly execute autonomous financial decisions, and the contrast is stark. Bitcoin was engineered because we needed a better system, and for the first time, the plumbing for that system is fully operational.

The administration's original DOGE failed because it tried to address the symptom theatrically while leaving the disease untouched. The real D.O.G.E. problem is much bigger: Debt, Oil, Growth, Employment. That is the Fed's next trap. But this time the trap is arriving in a system with too much debt to absorb real restraint, too much asset inflation to tolerate a true purge, too little labor-market strength to justify another all-out inflation war, and too much political pressure to pretend the Fed operates in a vacuum. That is why Bitcoin matters here. It was designed for the moment when the market finally understands that the state can no longer fight every inflation shock with credibility, consistency, and pain tolerance. In a D.O.G.E. world, Bitcoin stops looking like a speculative side story and starts looking like a monetary necessity.

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